argue, for some time, that it was the function of the Legislature to settle the ratio question and that it should do so before the RBI Bill was passed as after that this question would be barred to the future Legislatures.[12]

The Government of India Act, 1935, kept the Reserve Bank Act outside the purview of the Legislature. Another limiting provision was that the previous sanction of the Governor General was required for the introduction of any Bill affecting currency or exchange, thus foreclosing the possibility of any amendments to the RBI Act even after the arrival of independently elected ministries in the States. Lastly, the RBI Act once passed could not be amended without the approval of the Secretary of State. Thus, the establishment of the RBI was never intended as a means to transfer real power over currency and exchange into Indian hands. Balachandran maintains that the idea of a central bank continued to be justified differently in public but the internal memorializing establishes that it was primarily seen to fulfill a political requirement. 'The Indian central bank was a *necessary* condition for devolution, and Whitehall and the City were determined to secure it.'[13]

But when the RBI was finally ushered in, London soon found that it was not the handmaiden of government they had expected it to be. Its claim to independence soon became a source of irritation to London and within a year of the RBI's existence, the India Office was complaining about how the RBI Act had put too much power in the hands of the Governor. In 1927, one of the reasons London had opposed a state-owned central bank was the fear that it would be dominated by Bombay industrialists like Purshotamdas, and secured a shareholders' bank with dispersed ownership. But the first election to the bank's Boards threw up an unpleasant surprise. Bombay magnates gained a significant presence on the Central Board and the other Indian members were also not, 'for the most part, short-term, dividend-maximising, status quoists disposed to side with the government on monetary questions.'[14] The task of cutting the RBI down to size fell on Sir James Grigg, Sir George Schuster's successor as the Finance Member. Grigg was determined to maintain government's ascendancy over the bank, and so it was not long before relations with Sir Osborne Smith, its first Governor, which had never been particularly good to begin with, soured to a great degree.